

BEFORE THE FEDERAL MARITIME COMMISSION

INTERNATIONAL LONGSHOREMAN’S
ASSOCIATION,

*

Complainant,

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v.

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FMC Docket No.: 22-12

GATEWAY TERMINALS, LLC;
CHARLESTON STEVEDORING COMPANY,
LLC; PORTS AMERICA FLORIDA, INC.;
CERES MARINE TERMINALS, INC.;
AND SSA ATLANTIC, LLC,

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Respondents.

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BRIEF OF AMICUS CURIAE GEORGIA PORTS AUTHORITY

Amicus Curiae Georgia Ports Authority (“GPA”) respectfully submits the following brief to address two issues raised in the Order to File Briefing dated August 18, 2022 (“Order”). First, GPA is an arm of the state of Georgia, and is thus entitled to Eleventh Amendment immunity in this private party proceeding. Second, the Commission should not consider any relief that would impair the policy choices of, or affect the rights of, GPA.

I. GPA is an arm of the state of Georgia and entitled to Eleventh Amendment immunity.

As an arm of the state of Georgia, GPA is entitled to sovereign immunity under the Eleventh Amendment. None of the parties to this action challenges this proposition; indeed, respondents’ Response to Order to File Briefing expressly recognizes it. Nevertheless, the parties cannot themselves determine that GPA is immune, and GPA believes it useful to bring the following discussion of Georgia law to the Commission’s attention as it considers how GPA’s immunity bears on the issues here.

Pursuant to Section 52-2-4 of the Georgia Code, the Georgia Ports Authority is “an instrumentality of the State of Georgia[.]” The Georgia legislature expressly conferred certain state powers to the Port, including the state’s power:

(16) To develop and improve the harbors or seaports of this state for the handling of waterborne commerce from and to any part of this state and other states and foreign countries;

(18) To foster and stimulate the shipment of freight and commerce through such ports, whether originating within or without this state, including the investigation and handling of matters pertaining to all transportation rates and rate structures affecting the same;

(21) To do any other things necessary or proper to foster or encourage the commerce, domestic or foreign, of the state, of the United States of America, or of the several sister states;

Ga. Code Ann. § 52-2-9. Further, the legislature specified that the Port was created “for the benefit of the people of this state” and “will be performing an essential governmental function in the exercise of the power conferred upon it by this chapter.” Ga. Code Ann. § 52-2-37.

The Supreme Court of Georgia has expressly held that GPA is an “arm of the state” of Georgia and is thus entitled to immunity under the Eleventh Amendment. *Georgia Ports Auth. v. Lawyer*, 304 Ga. 667, 678-82 (2018). *Lawyer* is significant in that it resolved past uncertainty regarding how to apply sovereign immunity to GPA. Compare *Hines v. Georgia Ports Auth.*, 278 Ga. 631, 637 (2004) (holding that federal admiralty law abrogates the sovereign immunity enjoyed by GPA) with *Miller v. Georgia Ports Authority*, 266 Ga. 586, 587 (1996) (holding that GPA is entitled to sovereign immunity). The *Lawyer* court overturned the prior *Hines* decision, leaving no doubt that GPA is entitled to immunity.

Lawyer involved claims of negligence against GPA under both state law and federal maritime law. A central issue arose regarding whether GPA was an arm of the state and therefore immune from suit with respect to the federal maritime claims. The Court in *Lawyer* held that the

earlier *Hines* decision was erroneous, in part because it lacked a full record regarding GPA's relationship with the state. Based on the more robust factual record before it in *Lawyer*, the Court determined that GPA was an arm of the state.¹ In reaching this conclusion, the Court considered the legislature's characterization of GPA as an instrumentality of the state in GPA's organic statute, extensive state control over GPA's activities (both formally and in practice), and the state's extensive financial support of and responsibility for GPA. Based on these factors, the Court held that GPA is an arm of the state of Georgia for purposes of the Eleventh Amendment.

Lawyer remains binding Georgia precedent and leaves no doubt that GPA is entitled to the same Eleventh Amendment immunity as the state of Georgia. *See* Order at 2 (citing *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743 (2002) and noting that the "Supreme Court has held that state sovereign immunity bars the Federal Maritime Commission from adjudicating a private party's complaint against a state-run port[.]"). Accordingly, a private party may not bring an FMC action against GPA.

II. No order in this case should impair GPA's policy choices or other interests.

In their respective briefs regarding sovereign immunity, Complainant and Respondents both address GPA's role in the establishment and ongoing operation of Gateway. As noted in the Order, the Amended Complaint alleges that Gateway was established at the behest of GPA,² and

¹ The opinion contains a discussion of the separate issue of Congressional abrogation of state immunity through the passage of federal law, concluding that "the sovereign immunity from suit in state court that is reserved to the Ports Authority under the Georgia Constitution is not susceptible of abrogation by federal maritime law." *Id.* at 682. Likewise, the opinion discusses the application of the Georgia Tort Claims Act, Ga. Code Ann. § 50-21-20, *et seq.*, to GPA. These discussions are not relevant to the issues pending before the Commission in this case. !

² While not affecting the argument, GPA notes its disagreement with certain characterizations related to GPA in the Amended Complaint. For example, the Amended Complaint states that the proposed cooperative working agreement was drafted at the "joint behest" of GPA and the South Carolina Ports Authority ("SCPA"). However, there was no

that GPA desired the consolidation of the three individual respondents into Gateway. Am. Compl. ¶¶ 38-40. Similarly, Respondents state that the consolidation of the three stevedores into single entities, and the structure and operation of those entities at each port, arises from the regulatory and policy decisions of the ports. While this brief does not speak for SCPA, GPA does not dispute the proposition that it approved of the consolidation that created Gateway, and also does not dispute that Gateway has been operating under a license agreement with GPA under its statutorily granted oversight and regulatory duties pursuant to Ga. Code Ann. § 52-2-9.

Given the parties' apparent agreement that GPA is an arm of the state of Georgia, and their common position regarding GPA's role with respect to Gateway, the question is what impact this has on potential remedies the Commission might consider (provided it found Complainant's claims to be meritorious). While our research has not disclosed case law directly on point, cases addressing the requirements of Federal Rule of Civil Procedure 19 are instructive. A remedy that would require dismissal of an action under Rule 19 is a precluded remedy. Rule 19 requires dismissal of actions where the remedy sought would, as a practical matter, either impair or impede the non-joinable party's ability to protect its interests, or otherwise directly affect the non-joinable party's interests. *See e.g., Alaska Freight Lines v. Weeks*, 18 F.R.D. 64, 65-66 (D.D.C. 1955) (dismissing suit where indispensable party could not be joined based on lack of personal jurisdiction); *Detroit Int'l Bridge Co. v. Gov't of Canada*, 192 F. Supp. 3d 54, 68 (D.D.C. 2016) (granting motion to dismiss because State of Michigan was an indispensable party to the suit but joinder was "not feasible because the State enjoys sovereign immunity from suit under the

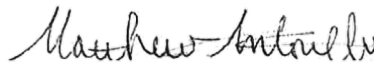
coordination between GPA and SCPA here, so to the extent "joint behest" might be read to assert such coordination, it would be inaccurate. In addition, the Amended Complaint asserts that GPA (and SCPA) created monopolies that are not justified by transportation factors, but rather for governmental and political reasons. GPA does not agree that there were no transportation factors motivating its actions.

Eleventh Amendment[.]”), aff’d, 875 F.3d 1132 (D.C. Cir. 2017), opinion amended and superseded, 883 F.3d 895 (D.C. Cir. 2018), as amended on denial of reh’g (Mar. 6, 2018).

This raises the question of what potential remedies could either impair or impede GPA’s ability to protect its interests, or otherwise directly affect GPA’s interests. Such remedies would be precluded. The Amended Complaint’s prayer for relief does not expressly seek injunctive relief. However, the combination of the request for a declaratory order that Gateway is a monopoly, combined with the general request for other relief as the Commission deems just and proper, could be read to encompass dissolution or similar injunctive relief that would interfere with the ongoing operations of Gateway. Such a remedy would affect GPA’s decision to approve Gateway, as well as interfere with ongoing operations of Gateway that fall within GPA’s statutorily granted oversight powers. Such relief would implicate GPA’s Eleventh Amendment immunity and therefore is precluded.

Respectfully submitted,

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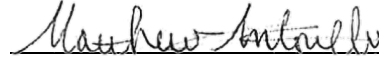
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CERTIFICATE OF SERVICE

I hereby certify that the foregoing brief was provided to counsel for Complainant and counsel for Respondents by email on this 22nd day of September, 2022.


Matthew J. Antonelli